

The Downsides of External Funding

1. **Loss of Control** – Investors will have a say in key decisions.



2. **High Expectations** – Pressure to deliver aggressive growth.

3. **Equity Dilution or Debt Burden** – Either you give up ownership or take on financial liabilities.



Which One Should You Choose?

Bootstrapping

- ✓ Full Control
- ✓ Sustainable Growth
- ✓ No Dependence on External Pressure

External Funding

- ✓ Scale Fast
- ✓ Sharing Control
- ✓ Dominate the Market

The best approach? Many successful startups do both. They bootstrap in the early days to prove traction and raise external funding when it’s time to scale. The key is knowing when to switch gears and ensuring that every funding decision aligns with your long-term vision.